

HEDGEYE DAILY DIGEST

Saturday, August 15, 2026 (GMT+8)

The top line: A textbook **Quad Shift** — out of July's **#Quad4** liquidation and into a **Quad 1/2 blend** (monthly Quad count **3-1-2**) — is powering U.S. equities to fresh all-time highs, with the **Russell 2000** printing an ATH. Keith McCullough covered his semiconductor and **South Korea (EWY)** shorts as immediate-term TRADE signals flipped, rotated out of rate-sensitivity (**XLRE, IAK**) into Growth/Tech (**QTUM, IGV**), and — at the top of the range — began “feeding the ducks,” cutting Real-Time Alerts from **8 longs/0 shorts to 7 longs/2 shorts**. The unifying macro theme is now **short U.S. dollar / long yen, euro and gold**.

Weekend note: Hedgeye does not publish on weekends. This Saturday (GMT+8) digest covers the most recent publishing day, Friday, August 14th (EDT), as “Today,” and Thursday, August 13th, as “Yesterday.”

Today's Publications

EARLY LOOK — “Quad Shift = ATHs”

Early Look · 08/14/26 08:10 AM EDT · Keith McCullough

Keith frames the week around a **Quad regime pivot**, drawing a resilience metaphor from Dusty Baker's new memoir. The market lesson: **stop defending old positions, follow the Signals, and change when the data changes**. Staying long Software (**IGV +3.7%** the prior day) and covering semis/**EWY** shorts kept disciplined portfolios out of harm's way, whereas **July was the worst month for fundamental Long/Short in four years** as consensus hedge funds burned in **#Quad4**.

With a monthly **Quad Count of 3-1-2**, Keith is shifting the book toward **Quad 1 and Quad 2 blends** — smaller market caps and “Growth” over rate-sensitivity. Concrete moves this week: bought **Quantum Computing (QTUM)** and **Software (IGV)**; sold **all REIT exposure (XLRE, on a +1.4% green day)** and the rest of **Insurance (IAK)**. The catalyst was the **U.S. CPI** report being read as “dovish,” which broke the **UST 2yr Yield** on a TRADE basis. His signature question: “*who gets you out?*” — a nod to Hedgeye's exits before 2008, 2018, 2020, 2022, 2025 and July 2026.

Risk Range™ Signals — 08/14/26

Asset	Immediate-Term Range	TREND Signal
10Y U.S. Treasury Yield (UST10Y)	4.60–4.74	Bullish
High Yield (HYG)	79.43–79.98	Bullish
Investment Grade Corp Bonds (LQD)	105.7–106.9	Bearish
S&P 500 (SPX)	7606–7861	Bullish
NASDAQ Composite (COMPQ)	25908–26992	Bullish
Russell 2000 (RUT)	2987–3075	Bullish
Health Care (XLV)	164–172	Bullish
S&P 500 Equal Weight (RSP)	219.00–225.00	Bullish
Tech-Software (IGV)	99.00–110.00	Bullish
Volatility Index (VIX)	14.05–16.43	Bearish
U.S. Dollar Index (USD)	99.25–100.13	Bearish
Crude Oil (WTIC)	74.36–85.99	Neutral
Natural Gas (NATGAS)	2.55–2.85	Bearish
Gold (GOLD)	4201–4524	Bullish
Copper (COPPER)	6.46–6.76	Bullish

HEDGEYE DAILY DIGEST

Saturday, August 15, 2026 (GMT+8)

Asset	Immediate-Term Range	TREND Signal
Silver (SILVER)	58–68	Neutral

Investment implication: Stay net long the broadening U.S. equity tape (Russell 2000 ATH, **RSP** equal-weight, **IGV** software, **QTUM** quantum), lean into the **short-dollar / long-gold** cross-asset theme, and keep the **yield-curve steepener** on — but respect that only ~0.7–0.8% immediate-term upside remains in the **SPX**, so trim into strength.

THE MACRO SHOW — Friday, August 14th

The Macro Show · 08/14/26 10:21 AM EDT

Bullish: Japanese Yen, Euro (EURUSD), **Gold**, Software (**IGV**), Equal-Weight Equities (**RSP**), Quantum (**QTUM**), **Amazon**, **Microsoft**, 10x Genomics (**TXG**), Red Robin (**RRGB**), New Zealand (**ENZL**), Philippines (**EPHE**), Lumber/Timber (**WOOD**), yield-curve steepener. **Bearish:** U.S. Dollar, Qatar (**QAT**), Investment-Grade credit (**LQD**), Ethereum (**ETH**).

Keith reiterated that **long USD is the most consensus net-long position in macro** (per CFTC positioning), making the short-dollar trade attractive. **Semiconductor and KOSPI/EWY shorts were covered — not defended** — once the immediate-term TRADE flipped (KOSPI back above the **6,853** TRADE level; **Micron** and **SanDisk** pushed **DRAM** back to bullish TRADE). Covering a short is *not* going long: he stayed long software, not semis. At all-time highs, the portfolio moved from buying to “**feeding the ducks**” — Real-Time Alerts went **8 longs/0 shorts to 7 longs/2 shorts**. Other moves: **reduced Apple** (neutral-to-bearish, lower high), **kept adding Amazon**, **trimmed New Zealand and added Philippines** (net long Asia, no Asian shorts), **sold Ethereum** on a return to bearish TREND, and **added Gold and WOOD**. **Qatar** is the only country-level short.

CAPITAL ALLOCATION PRO — Model Portfolio Changes

Capital Allocation Pro · 08/14/26 11:24 AM EDT · R. McGroarty, A. Nanai, D. Salem

New **Model Portfolio Changes** take effect using **Friday, August 14th** closing prices (details in the subscriber PDF). Trend and Tail levels for the **68 ETFs** were last refreshed on **July 31st** closes, on the standard 3–4 week cycle. Consistent with the Early Look narrative, the rotation reflects a **Quad 3 → Quad 1/2 pivot** — into growth/quantum/software, out of rate-sensitivity.

SIGNAL STRENGTH STOCKS — 75 Stocks (2 Added, 3 Removed)

Signal Strength Stocks · 08/14/26 11:12 AM EDT

Added: **LFST**, **PRMB**. **Removed:** **PVH**, **HD**, **ULTA**. The screen tightened to **75 names**, with retail/discretionary (**HD**, **ULTA**, **PVH**) rolling off.

MOMO TRACKER — Mag7 (+0.9%)

Momentum Stock Tracker · 08/14/26 08:21 AM EDT · C. Drake, R. Ricci

The Mag7 basket rose **+0.9%**, with **Netflix (NFLX) +5.4%** leading as a **BULLISH** signal, while **Tesla (TSLA) +3.8%** remained **BEARISH** despite the up day — momentum leadership is broadening beyond the mega-cap semis.

Yesterday's Publications

HEDGEYE DAILY DIGEST

Saturday, August 15, 2026 (GMT+8)

EARLY LOOK — “Play The Hand You’re Dealt”

Early Look · 08/13/26 07:17 AM EDT · Brooks Cutright (ADDS)

What: Guest Early Look from ADDS PM Brooks Cutright on **compulsory flows** — capital that *must* move (index rebalances, CTA reweights, leveraged-ETF resets, forced deleveraging) versus capital that *wants* to move. **Why:** The hierarchy is **Quads (forecast) → Trend (current conditions) → compulsory flows (forced execution)**, best when all three align; roughly **\$11 trillion** tracks the **S&P 500**, so index additions force mechanical buying.

Who / What: Cites July’s momentum unwind — Goldman’s High Beta Momentum basket had been **+60% YTD** in June before rolling over — and reporting that AI fund **Situational Awareness** sold most of its book to **Citadel** after leveraged losses. **Key numbers:** **~10 companies** currently clear every published **S&P 500** admission screen ahead of the **September 4** announcement; **~3%** of every S&P 500 dollar sits in **~125 companies** too small to be admitted today. **Takeaway:** **September = Quad 1, October = Quad 2** (two risk-on regimes back-to-back) sets up a favorable index-event window — “book the trip,” but let Trend confirm.

KM’S TOP 3 THINGS — Rates / KOSPI / Volatility

From The Desk · 08/13/26 07:05 AM EDT · Keith McCullough

RATES — the **Inflation Nowcast** (slowing for July) printed with an immediate-term TRADE breakdown on the **UST 2yr** (resistance now **4.24%**) and further curve steepening (**10s minus 2s +50bps**, a new cycle high post-#Quad4); stay long **IVOL**, **CLOZ**, **VCSH**. **KOSPI** — covered the **EWY** short; the “Doctor” rose **+3.6%** overnight to **6813**, just inside TRADE (**6851**) and well inside TREND (**7204**), the crash now **-25%** from its #MOAB peak. **VOLATILITY** — a broadening bull market as the **Russell 2000** prints ATHs (long **13 U.S. equity ETFs**); **VIX** signaling lower-lows and the **MOVE Index** broke TREND on the CPI print. Risk Ranges: SP500 **7576–7884**; UST 10yr Yield **4.61–4.74%**.

THE MACRO SHOW — Thursday, August 13th

The Macro Show · 08/13/26 10:45 AM EDT

What: Portfolio re-expansion out of Quad 4 — asset allocation rebuilt from **~20–21 positions back to 28 of 30**. **Why:** Post-CPI rates confirmed the **steepener** (2yr broke down, 10s-2s to **~+50bps**; 2yr level **4.24%**; **MOVE** broke TREND, sub-**75** bearish); the **short-dollar** signal became the central cross-asset theme with **long EM** (New Zealand, Philippines) opposite — explicitly “**do not be long China.**” **Who / What:** Covered **EWY** short; semis “wait and watch” (**no DRAM short**; close above **6,851** returns positive TRADE, TREND still **7,204**); bought cruise lines **Viking (VIK)** and **Norwegian (NCLH)** as **oil broke TREND**; added **long yen** and **long euro (FXE)**; rebuilding **Gold** back toward its **3%** min; trimmed **Colombia** to its **2%** min on overbought; long **Ethereum** on a “short leash” (must hold **1,850**; TREND **1,917**). **Takeaway:** Shorts eliminated, breadth embraced, steepener intact, dollar the key driver.

SIGNAL STRENGTH STOCKS — 76 Stocks (3 Added, 3 Removed)

Signal Strength Stocks · 08/13/26 03:29 PM EDT

Added: **TT, TTWO, RDNT**. The screen held at **76 names**, adding industrials (**TT**), gaming (**TTWO**) and healthcare imaging (**RDNT**).